

Muthoot Finance Limited

Reference: SR-2026-MFL-001 | NSE: MUTHOOTFIN | Gold Loan NBFC | 21 May 2026 | Confidential

1 – Summary

Muthoot Finance trades at 15.4x trailing earnings and 3.8x book value on consolidated PAT of Rs 10,607 Cr (FY26). The market prices the company as if gold loan margins are structurally protected and non-gold diversification is value-accretive. Both assumptions warrant examination.

2 – Institutional Scorecard

Dimension	Score	Assessment
Risk Intensity	8.5 / 10	Elevated
Confidence	5.5 / 10	Limited data depth
Regime Sensitivity	5.0 / 10	Moderate
Structural Quality	2.1 / 10	Weak
Composite	3.0 / 10	Elevated Risk

3 – Financial Series

Metric	FY23	FY24	FY25	Direction
NIM (%)	10.8	10.8	10.3	Compressing
Cost of Funds (%)	5.4	6.2	6.2	Stabilised
ROE (%)	16.8	17.2	18.2	Improving
ROA (%)	4.5	4.5	4.0	Deteriorating
GNPA (%)	0.0	0.0	0.0	Stable
NNPA (%)	2.9	2.9	2.8	Marginally better
AUM Growth (%)	12.0	31.0	37.0	Accelerating
Gold Loan % of AUM	93.0	91.0	90.0	Slowly declining
PAT Growth (%)	10.0	23.3	98.0	Surge (FY26)

Sources: Equitymaster Annual Report Analysis, Muthoot Finance Q4FY26 Press Release (14 May 2026), IDBI Capital Q2FY25 Result Review, StockAnalysis May 2026.

4 – Central Observation

Gold price appreciation is masking a 50bps NIM compression and a 6.7 percentage-point decline in capital adequacy, while the non-gold segment – growing 172% YoY – carries a credit cost of 4.1% that is subsidised by gold loan profits and invisible at the consolidated level.

Three data points support this:

- NIM fell from 10.8% to 10.3% (FY24 to FY25) despite gold prices rising and AUM growing 37%. Interest expense grew 36.9% vs interest income growth of 34.2% – the spread is narrowing at scale. (Source: Equitymaster)
- CAR declined from 30.4% to 23.7% while AUM grew 37%. Capital buffer is eroding faster than asset growth. (Source: Equitymaster Key Ratio Analysis)
- Non-gold credit cost is 4.1% vs gold loan GNPA of 0.0%. The non-gold book (personal loans, SME, home loans) is expanding 172% YoY but its credit risk is absorbed by gold loan profitability. (Source: IDBI Capital Q2FY25 call transcript)

5 – Forensic Flags

Flag	Severity	Summary
NIM compression under gold rally	High	50bps NIM decline despite 37% AUM growth and rising gold prices. Cost of funds outpacing yield.
Non-gold cross-subsidy risk	High	4.1% credit cost in non-gold vs 0.0% GNPA in gold. 172% YoY non-gold growth unpriced for risk.

RBI LTV regulatory overhang	High	Tiered LTV caps (85%/80%/75%) effective April 2026. Effective LTV on bullet loans above Rs 5L constrained to ~63-64%.
Valuation fragility	High	P/BV 3.8x implies ROE of 73.7% vs actual peak of 18.5%. P/E 15.4x on FY26 PAT surge of 98%.
Geographic concentration	Medium	>60% of 7,568 branches in South India. Correlated regional risk underpriced.
Capital adequacy erosion	Medium	CAR fell 6.7pp (30.4% to 23.7%) while AUM grew 37%. Trajectory concerns at 40%+ growth.

6 – Valuation Context

Metric	Value	Source
Current Price	Rs 3,301	NSE, 20 May 2026
Trailing P/E	15.4x	Yahoo Finance / StockAnalysis
Trailing P/BV	3.8x	StockAnalysis
EPS (TTM)	Rs 217	Yahoo Finance
Market Cap	Rs 1.35 trillion	Yahoo Finance
Median Historical P/E	13.4x	Investing.com (FY21-FY25)

The stock trades at a 15% premium to its 5-year median P/E of 13.4x. The FY26 PAT surge of 98% YoY (Rs 10,607 Cr consolidated) is driven by gold price appreciation increasing loan book value and lower provisions – not by margin expansion. NIM actually compressed.

7 – RBI Regulatory Framework

The RBI's June 2025 final guidelines on gold loans, effective 1 April 2026, introduce tiered LTV caps:

Loan Size	Max LTV	Impact on Muthoot
Below Rs 2.5 lakh	85%	Majority of book (avg ticket Rs 88,000). No credit appraisal required.
Rs 2.5 – 5 lakh	80%	Mid-ticket segment. Moderate impact.
Above Rs 5 lakh	75%	High-value schemes (Rs 5 Cr). Effective LTV constrained to ~63-64% on bullet repayment at 17-18% rates.

Source: RBI Monetary Policy Review (6 June 2025), Business Standard; EY Impact Assessment (Feb 2026).

The LTV must now be calculated on total repayment due at maturity, not the disbursed amount. This closes a previous monitoring gap and effectively reduces the usable LTV on bullet loans by 10-12 percentage points for high-ticket loans.

8 – Competitive Positioning

Muthoot Finance is the largest pure-play gold loan NBFC in India with 7,568 branches (FY26). Its nearest competitor, Manappuram Finance, operates approximately 3,000 branches. Muthoot's gold loan AUM of Rs 1,65,030 Cr (consolidated, FY26) represents approximately 45-50% of the organised gold loan market.

The company has been classified in the RBI's Upper Layer NBFC category for four consecutive years, subjecting it to bank-like regulatory scrutiny.

9 – Framework Note

What would change the assessment:

- NIM stabilisation or expansion over two consecutive quarters

- CAR stabilisation above 25% with continued AUM growth
- Non-gold segment credit cost declining below 3.0%
- Gold loan GNPA remaining at 0.0% through a gold price correction of 15%+
- Branch productivity (AUM per branch) maintaining Rs 31 Cr+ (FY26 standalone peak)

What would worsen the assessment:

- Gold price decline of 15%+ triggering LTV breaches and forced auctions
- Non-gold credit cost exceeding 5.0%
- CAR falling below 20%

- RBI further tightening LTV caps or restricting bullet repayments
- Geographic concentration losses from South India economic slowdown

10 – Data Provenance

Data Point	Source	Verification
NIM, ROE, ROA, CAR	Equitymaster Annual Report Analysis	Cross-checked with company filings
AUM, PAT FY26	Muthoot Finance Press Release, 14 May 2026	BSE filing confirmed
Non-gold metrics	IDBI Capital Q2FY25 Result Review	Conference call transcript
Valuation multiples	Yahoo Finance, StockAnalysis	Live market data
RBI LTV framework	RBI Circular, Business Standard	Official regulatory document
Branch network	Muthoot Finance Q4FY26 Press Release	Company disclosure

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